



## ANNOUNCEMENT OF THE UNAUDITED RESULTS FOR THE SIX MONTHS ENDED 31 DECEMBER 2024

The Directors of East African Portland Cement PLC are pleased to announce the unaudited consolidated results for the six months period ended 31st December 2024

### Condensed Consolidated Statement of Comprehensive Income for six months period ended:

|                                          | 31 Dec 2024<br>Sh' 000 | 31 Dec 2023<br>Sh' 000 |
|------------------------------------------|------------------------|------------------------|
| Revenue                                  | 3,296,871              | 1,838,798              |
| Cost of Sales                            | (2,764,771)            | (2,157,936)            |
| Gross Profit/(Loss)                      | 532,099                | (319,138)              |
| Other Operating Income                   | 54,107                 | 16,470                 |
| Administration and Selling Expenses      | (546,245)              | (429,505)              |
| Profit/(Loss) from Operating Activities  | 39,962                 | (732,173)              |
| Finance Costs                            | (2,533)                | (2,197)                |
| Profit/(Loss) Before Tax                 | 37,429                 | (734,370)              |
| Tax Credit                               | (2,378)                | 13,582                 |
| Profit/(Loss) After Tax                  | 35,050                 | (720,788)              |
| Other Comprehensive loss                 | (8,416)                | (59,206)               |
| <b>Total Comprehensive Income/(Loss)</b> | <b>26,633</b>          | <b>(779,994)</b>       |
| Earnings Per Share                       | 0.39                   | (8.01)                 |

### Condensed Consolidated Statement of Financial Position as at:

|                                     | 31 Dec 2024<br>Sh' 000 | 30 June 2024<br>Sh' 000 |
|-------------------------------------|------------------------|-------------------------|
| <b>Assets</b>                       |                        |                         |
| Non-current assets                  | 28,287,573             | 28,443,112              |
| Current assets                      | 6,663,020              | 6,743,038               |
| <b>Total assets</b>                 | <b>34,950,593</b>      | <b>35,186,150</b>       |
| <b>Equity and Liabilities</b>       |                        |                         |
| Total equity                        | 20,427,365             | 20,400,732              |
| Non current liabilities             | 1,949,730              | 1,951,495               |
| Current liabilities                 | 12,573,496             | 12,833,923              |
| <b>Total liabilities</b>            | <b>14,523,227</b>      | <b>14,785,418</b>       |
| <b>Total equity and liabilities</b> | <b>34,950,593</b>      | <b>35,186,150</b>       |

### Condensed Consolidated Statement of Cash Flows for the six months period ended:

|                                                           | 31 Dec 2024<br>Sh' 000 | 31 Dec 2023<br>Sh' 000 |
|-----------------------------------------------------------|------------------------|------------------------|
| Cash flow Generated from/(Used in) operations             | 179,543                | (377,925)              |
| Net Interest Paid                                         | (163)                  | (104)                  |
| <b>Cash Generated From/(Used in) Operating Activities</b> | <b>179,380</b>         | <b>(378,029)</b>       |
| Net Cash(Used in)/Generated from Investing Activities     | (14,776)               | 389,232                |
| Net Cash Used in Financing Activities                     | (4,688)                | (5,595)                |
| Effect of foreign currency translation                    | (8,416)                | (59,206)               |
| Net Increase in Cash and Cash Equivalents                 | 159,915                | 5,608                  |
| Cash and Cash Equivalents as at 1st July                  | 20,758                 | 80,281                 |
| <b>Cash and Cash Equivalents as at 31 December</b>        | <b>172,257</b>         | <b>26,683</b>          |

### Condensed Consolidated Statement of Changes in Equity as at:

|                           | 31 Dec 2024<br>Sh' 000 | 30 June 2024<br>Sh' 000 |
|---------------------------|------------------------|-------------------------|
| Share Capital             | 450,000                | 450,000                 |
| Share Premium             | 648,000                | 648,000                 |
| Asset Revaluation Reserve | 103,935                | 103,935                 |
| Retained Earnings         | 18,862,515             | 18,827,445              |
| Other Reserves            | 362,916                | 371,352                 |
| <b>Total Equity</b>       | <b>20,427,365</b>      | <b>20,400,732</b>       |

## OPERATING CONTEXT

During the period, the construction input price index was recorded at 3.37% which demonstrated a surge in prices of construction materials. In Material-Specific Indices, cement index increased by 4.22% while Reinforcement Steel increased by 4.66%. The housing price index dropped by 1.1% in Q3 of 2024 reflecting ongoing price corrections in the housing market. The real estate and the construction sector decelerated by 5.5% & 2.0% respectively in Q3 of 2024 indicating a slowdown in the housing market. Despite a decline in housing prices and overall construction sector activity, cement consumption in Q3 increased by 12.24% compared to Q2 of 2024 indicating that certain segments of the construction industry remained active, potentially driven by ongoing infrastructure projects rather than new housing developments. The broader slowdown in the real estate sector amidst rising construction activity, however, reflects housing supply adjustments in response to weaker demand and tighter financial conditions.

## FINANCIAL HIGHLIGHTS

- Revenue grew by 79%, while sales volume grew by 56% against same period last year. This is accrued from enhanced plant reliability, and strategic pricing from optimal route-to-market.
- Improved plant utilization and achievement of key efficiency targets generated Gross profit of KES 532M compared to Gross loss of KES 319M in prior year period.
- Total comprehensive income amounted to KES 26.7M compared to loss position of KES 780M for last year corresponding period.

## OUTLOOK

The company undertook a comprehensive plant technical audit and developed an investment plan that targets full utilization of the installed capacity within the second half of the financial year. Looking ahead, we remain confident in our ability to sustain and grow the profits from operations through lean production, strategic pricing and robust relationship with our key value chain partners who now have spirited confidence in the going concern of the Company.

## BY ORDER OF THE BOARD

28 February 2025